These hurdles "impose[d] administrative costs that many small entities [might] be unable to bear" and "create[d] a disincentive for such organizations to engage in political speech." *Ibid;* see also *id.*, at 265–266 (O'CONNOR, J.).

Despite the Chamber's success in administering its separate political fund, see, *e. g.*, Tr. 443 (Chamber expected to have over $140,000 in its segregated fund available for use in the 1986 elections), Michigan's segregated fund requirement still burdens the Chamber's exercise of expression because "the corporation is *not* free to use its general funds for campaign advocacy purposes." *MCFL, supra*, at 252 (plurality opinion). The Act imposes requirements similar to those in the federal statute involved in *MCFL:* a segregated fund must have a treasurer, § 169.221; and its administrators must keep detailed accounts of contributions, § 169.224, and file with state officials a statement of organization, *ibid.* In addition, a nonprofit corporation like the Chamber may solicit contributions to its political fund only from members, stockholders of members, officers or directors of members, and the spouses of any of these persons. § 169.255. Although these requirements do not stifle corporate speech entirely, they do burden expressive activity. See *MCFL*, 479 U. S., at 252 (plurality opinion); *id.*, at 266 (O'CONNOR, J.). Thus, they must be justified by a compelling state interest.

B

The State contends that the unique legal and economic characteristics of corporations necessitate some regulation of their political expenditures to avoid corruption or the appearance of corruption. See *FEC* v. *National Conservative Political Action Committee*, 470 U. S. 480, 496–497 (1985) *(NCPAC)* ("[P]reventing corruption or the appearance of corruption are the only legitimate and compelling government interests thus far identified for restricting campaign finances"). State law grants corporations special advantages—such as limited liability, perpetual life, and favorable